MACROECONOMICS TEST (Tuesday, 19/05/2026)

Question one

Scenario:

You are given the following hypothetical data for Cameroon for the year 2025 (all figures in Millions of local currency):

Item	Amount (Million FCFA)
Personal consumption expenditures	180,000
Gross Domestic fixed capital formation	68,000
Value of physical increase in stocks and work in progress	-5,000
Government purchases of goods and services	45,000
Exports of goods and services	90,000
Imports of goods and services	200,000
Indirect Taxes	50,000
Subsidies	60,000
Property income paid abroad	15,000
Property income from abroad	25,000
Transfer payments (e.g., social security)	10,00
Purchase of new residential housing	30,000
Purchase of financial assets (stocks & bonds)	40,000
Capital Consumption	60,000

a) Calculate the National Income of Cameroon for 2025, using the six stages of the Expenditure Method. All working should be clearly indicated **(20 marks)**

b) Indicate what is excluded from the Expenditure method calculation and why **(5 marks)**

c) Briefly explain the role of **imports** in the expenditure formula **(5 marks)**

Question Two

With the help of examples show that National income is equal to National Output and equal to National Expenditure **(10 marks)**

Question Three (10 marks)

You are given the following hypothetical data of Cameroon for the financial year 2023-2024:

Item	Amount million FCFA
Compensation of employees	80,000
Revenue from self-employed transactions	20,000
Gross trading profit of companies	16,000
Gross trading surpluses of public corporations	25,000
Imputed charge of non-traded capital goods	12,000
Rents	2,500
Stock appreciation	1,800
property income from abroad	40,000
Property income paid abroad	50,000
Residual error	-200
Consumption of fixed capital	1,000

Calculation National Income using the National Income Method (10 marks)